
Control Your Stock, Protect Your Cash

Inventory Essentials for SMEs

A practical, cross-industry introduction to how everyday stock decisions shape your cash flow, customer service and daily performance.

2 LEARNING HOURS

Complimentary programme

CROSS-INDUSTRY

Retail · F&B · Clinics · Trade · Services

FACILITATOR

Syamil Yasin

Source: SYRX Academy, Control Your Stock,
Protect Your Cash — NTW Course Outline
(2026)

What is your biggest inventory problem?

A

Running out of stock

Lost sales, emergency buying

B

Too much stock

Cash tied up on the shelf

C

Expiry & damage

Write-offs you cannot recover

D

Wrong records

System says one thing, shelf another

E

Slow & dead stock

Items that never move

F

No clear owner

Everyone and no one in charge

What this programme covers

✓ We will do

- Spot the inventory losses draining your cash
- Calculate a basic reorder point for one item
- Find the weak control points in your flow
- Leave with a Seven-Day Quick-Win Plan

× We will not do

- ERP or software configuration
- Warehouse engineering & slotting
- EOQ & statistical forecasting
- Complex supply-chain optimisation

By the end, you will be able to...

- 01 Explain how inventory affects cash flow, service and daily operations
- 02 Identify common inventory problems and what they cost you
- 03 Calculate a basic reorder point for one priority item
- 04 Recognise the key control points across your inventory flow
- 05 Build one improvement action you can implement within seven days

THE TWO-HOUR FLOW

Awareness	M1 · 25m
Reorder logic	M2 · 35m
Control points	M3 · 30m
Action plan	M4 · 15m

From awareness → reorder logic → control → one immediate action.



Syamil Yasin

Pharmacist | HRD Corp Accredited Trainer | Healthcare Inventory Management Practitioner

Healthcare inventory demands accuracy, accountability, FIFO, FEFO, reorder discipline and stock-movement control — where a mistake affects patient safety. These exact principles transfer directly to every inventory-holding SME.

Accuracy

Accountability

FIFO / FEFO

Reorder discipline

01

See Where Cash Gets Trapped

Inventory as working capital, the true cost of the seven common losses, and the losses you cannot see.

Inventory is working capital

Every ringgit tied up in stock is a ringgit you *cannot* use for rent, wages or growth.

Stock is not just goods on a shelf — it is cash you have already spent, waiting to come back. Managing inventory well **is** managing cash flow.

Many SMEs still rely on manual records, spreadsheets or staff memory for inventory control.

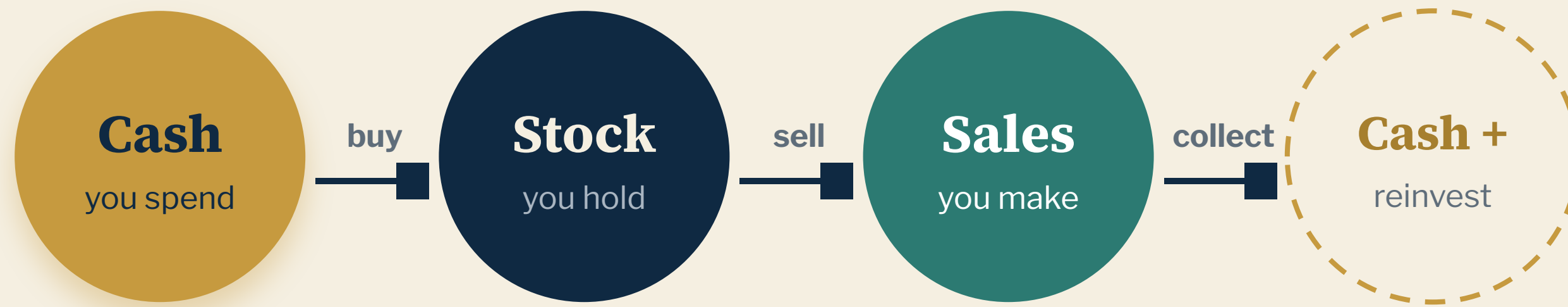
RM 35.5b

PwC identified RM 35.5 billion in inventory-related working-capital opportunities within the Malaysian market reviewed.

77%

of Malaysian SMEs remain at a basic stage of digitalisation.

The cash cycle never stops moving



When stock does not sell, **the loop freezes — and so does your cash.**

Seven ways stock drains cash

01

Stockout

Nothing to sell or issue

02

Overstock

Cash frozen in excess

03

Slow-moving

Barely turns over

04

Dead stock

No movement, 90+ days

05

Expiry & damage

Written off, unrecoverable

06

Inventory variance

Records ≠ reality

07

Emergency & duplicate buying

The symptom of every problem above — rushed orders at 3–5× the cost

Two opposite mistakes, one weak skill

Stockout

Too little — you lose the sale

91%

of consumers are less likely to return after a negative experience such as a stockout

3–5×

the cost when you buy in an emergency

- Lost revenue and broken trust
- Staff firefighting instead of serving

Overstock

Too much — you freeze the cash

15–30%

Estimated annual inventory carrying cost, as a share of inventory value

- Storage, handling and insurance
- Obsolescence risk and markdowns
- Opportunity cost of tied-up cash

When stock stops moving, it dies

Slow-moving

turns rarely

Still sells — but too slowly to justify the cash it holds. The early warning sign.

Dead stock

no movement · 90–180 days

Cash locked away with no return. Needs a clear plan: discount, return or write off.

Expiry & damage

gone for good

A total loss — and a compliance risk for healthcare and F&B. Key controls: FEFO, receiving inspection, proper storage and near-expiry monitoring.

Most losses hide below the surface

VISIBLE · WHAT MOST OWNERS SEE

- Empty shelves
- Obvious write-offs
- Complaints

HIDDEN · WHAT QUIETLY DRAINS CASH

Carrying cost 15–30% / year	Emergency buying may cost 3–5× more than standard procurement	Lost customers rarely recorded	Wasted staff time searching & fixing	Distorted accounts wrong decisions
---------------------------------------	--	--	--	--

Rank your top three problems

From the seven losses, choose the **three** costing your business the most right now — and put them in order.

RANK BY MONEY, NOT ANNOYANCE

Ask of each: what does this cost me in a month — in lost sales, frozen cash or write-offs?

1 Biggest cash drain

2 Second priority

3 Third priority

02

Stop Stockouts Without Overstocking

Reorder point, minimum and maximum stock, stock cover, and FIFO versus FEFO — the everyday maths of good ordering.

Three inputs, one reorder trigger



The reorder point formula

$$\text{Reorder point} = (\text{Avg daily usage} \times \text{Lead time}) + \text{Safety stock}$$

Cover the wait

Enough stock to keep serving while the supplier delivers.

Add a cushion

A buffer for busy days and late deliveries — so a surprise does not become a stockout.

One item, real numbers

CROSS-INDUSTRY EXAMPLE · PACKAGING BOXES

Average daily usage	10/day
Supplier lead time	5days
Safety stock (buffer)	20units

Usage during lead time = 10×5
= 50 units

Reorder point = $50 + 20$
= 70 units

✓ Place a new order when available stock reaches **70 units.**

Stay between the floor and the ceiling

- **Maximum stock**

The ceiling. Go above it and cash is frozen. Avg usage × max days of cover.

- **Stock cover**

Days your current stock will last at average usage.
Your early-warning gauge.

- **Minimum stock**

The floor. Fall below and you risk a stockout.

WORKED LINE · PACKAGING BOXES

Hold no more than 14 days of packaging boxes:

$$10 \text{ /day} \times 14 = 140 \text{ units max}$$

A clear ceiling stops well-meant bulk buying from becoming dead stock.

Issue in the right order

FIFO First In, First Out

Sell the **oldest received** stock first.



FEFO First Expiry, First Out

Issue the **earliest expiry** first — whatever the arrival date.



Calculate one reorder point

Pick **one priority item** from your business and work it through — the number you leave with today.

$$ROP = (Avg \times Lead) + Safety$$

No perfect data needed — a good estimate from last week beats guessing.

YOUR WORKSHEET

Item

Average daily usage

Lead time (days)

Safety stock

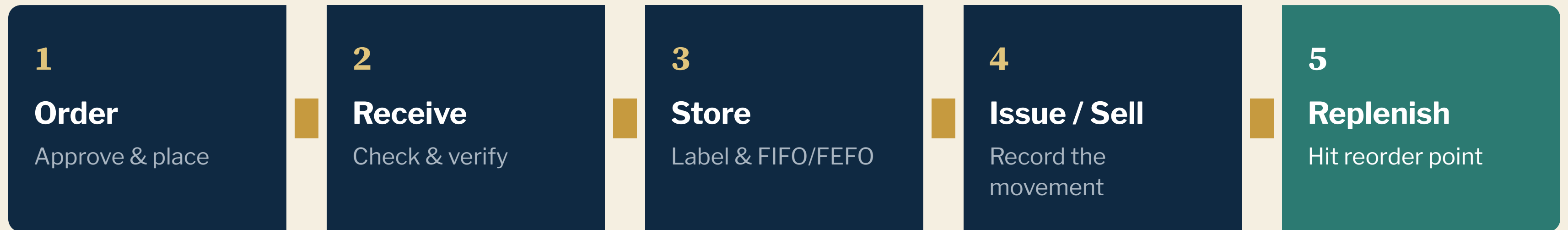
Reorder point

03

Control the Inventory Flow

The five-stage flow, the control point at each stage, and the one thing that makes it all work — a named owner.

Every business runs the same five stages



■ *Replenish loops back to Order — a failure at any stage flows downstream*

One key control at every stage

Order

- Approved request before purchasing

Receive

- Check quantity, condition and documentation

Store

- Label clearly and apply FIFO or FEFO

Issue / Sell

- Record every stock movement immediately

Replenish

- Review current stock against the reorder point

ACROSS EVERY STAGE

Conduct regular stock counts and investigate variances.

Give inventory a name

When everyone is responsible, *no one is accountable.*

Name one **Inventory PIC** , set clear approval limits, and separate who receives stock from who approves adjustments.

PIC

Inventory PIC
Owns accuracy & reorder monitoring

STORE

Storekeeper
Receiving, storage, movement records

APPROVE

Owner / Manager
Approves purchases, adjustments, write-offs

Find your weakest control point

Across the five stages, circle the **one** where your business loses or mis-records stock most often.

Order

approval?

Receive

checking?

Store

labelling?

Movement

recording?

Count

variance?

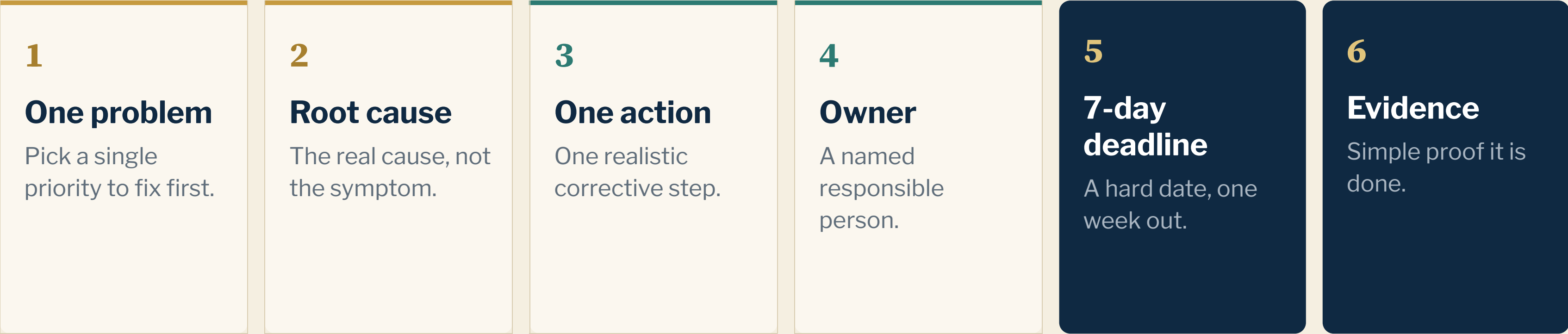
Then note the **likely root cause** — not just the symptom.

04

Protect Your Cash in 7 Days

Turn today's biggest problem into one realistic action — owned, dated, and done within a week.

The Seven-Day Quick-Win Plan



Build your Quick-Win Plan

Priority problem _____

Likely root cause _____

One corrective action _____

Responsible person _____

Done by Day 7

Evidence of completion _____

Five questions before you go

Q1 Name the three inputs behind a reorder point.

Q2 Write the reorder point formula.

Q3 When do you use FEFO instead of FIFO?

Q4 List the five stages of the inventory flow.

Q5 Why do we call inventory "working capital"?

What you walk away with



Inventory as cash

You see stock as working capital, not just goods.



The seven losses

You can name the problems draining your cash.



A reorder point

Calculated for one real priority item.



A weak point found

One control gap in your own flow identified.



A 7-day plan

One action, owned and dated, ready to run.



Quick-reference tools

Reorder, FIFO, FEFO and control basics on one card.

CLOSING · YOUR NEXT STEP

From a quick win to a full system

TODAY · INTRODUCTORY

Control Your Stock, Protect Your Cash

2 LEARNING HOURS

Awareness, basic controls and one immediate action.

next

NEXT · FULL-DAY IMPLEMENTATION

Practical Inventory Management for SMEs

7 LEARNING HOURS

Reorder planning, ABC analysis, workflow control, accountability, a KPI dashboard and a 30-day implementation plan.

Questions & final commitment

ONE QUESTION TO TAKE WITH YOU

**What is one inventory action you will start
within the next *seven days*?**

SOURCES

References

01

Department of Statistics Malaysia (DOSM). (2024). *MSMEs Performance 2024 ; and Economic Census 2023: Wholesale & Retail Trade*. Putrajaya: DOSM.

02

PwC Malaysia. (2019). *Optimising Working Capital for Growth*. Kuala Lumpur: PricewaterhouseCoopers Malaysia.

03

SME Corporation Malaysia. (2024). *Profile of MSMEs 2015–2023 & Challenges in Digital Adoption*. Kuala Lumpur: SME Corp Malaysia.

04

ToolsGroup / IHL Group. (2024). *The Hidden Costs of Poor Inventory Management: Retail Out-of-Stock & Overstock Study*.

05

Ministry of Health Malaysia. (2020). *Logistics Pharmacy Management Guidelines (FIFO / FEFO practice)*. Pharmaceutical Services Programme.

06

SYRX Academy. (2026). *Practical Inventory Management for SMEs — Comprehensive Programme Development Research Report*.

07

SYRX Academy. (2026). *Control Your Stock, Protect Your Cash — NTW Course Outline*.

08

SYRX Academy. (2026). *Practical Inventory Management for SMEs — Full-Day Course Outline*.